

CLAIMIQ DEMO INSURANCE

Motor Own-Damage Claims Handling SOP

SOP Code: CLM-MTR-01 | Version: 1.0 | Effective for Prototype: 01 August 2026

Synthetic training-free reference document for the ClaimIQ DTAI capstone prototype

IMPORTANT PROTOTYPE NOTICE

This document is a fictional, educational policy/SOP created for a student AI prototype. It is designed to resemble Indian private motor insurance practice but is not filed with IRDAI, not issued by a licensed insurer, and must not be sold, relied upon for real claim settlement, or presented as legal advice.

Prepared for retrieval-augmented generation (RAG), rule-engine testing and live application demonstration.

Document Map

The numbered clauses below are intentionally stable so that ClaimIQ can cite them as retrieval sources and rule-engine evidence.

Section	Title
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2	Operating principles
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1. Purpose and Scope

1.1 This SOP defines the operating process for private-car own-damage claims from first notice of loss through assessment, settlement recommendation, human authorization and closure.

1.2 It applies to accidental partial-loss claims under supported private-car policies. Theft, fatality, major third-party liability, suspected organized fraud and complex total-loss events are routed to CLM-MTR-02.

1.3 ClaimIQ may automate document extraction, rule calculations, anomaly screening and routing recommendations. Final coverage and payment authorization remain with designated claims personnel.

2. Operating Principles

- Customer first: request only information reasonably needed to decide the claim.
- Evidence based: deductions and escalations must have a documented reason.
- Rules before AI: policy/SOP rules override model-generated interpretation.
- Exception focused: low-risk, complete claims should move quickly; human expertise should focus on ambiguity and severity.
- No fraud-by-score: anomaly signals trigger verification, not accusation.
- Traceability: every material adjustment and override must be recorded.
- Data minimization: only claim-relevant data should be processed in the prototype.

3. Roles and Authority

Role	Primary responsibility	Prototype approval authority
Claims Intake Analyst	Register FNOL, validate basic policy/vehicle data, request missing documents.	No settlement authority
Claims Officer	Review coverage, settlement calculation, low/moderate-risk claims.	Up to ₹1,50,000 assessed own-damage settlement

Role	Primary responsibility	Prototype approval authority
Motor Surveyor / Technical Reviewer	Damage causation, repair methodology, quantum and technical disputes.	Recommendation; final authority per claims delegation
Claims Manager	High-value approvals, overrides, disputed coverage/quantum.	₹1,50,001-₹5,00,000
Head / Senior Claims Authority	Very high-value or exceptional settlement.	Above ₹5,00,000 or as delegated
SIU / Specialist Team	Investigate material inconsistencies or suspected organized abuse.	No unilateral repudiation authority

Internal delegation note

The authority limits above are synthetic operating assumptions for the prototype. They are included so ClaimIQ can demonstrate maker-checker and escalation behaviour.

4. Claim Intake and Document Requirements

4.1 On first notice of loss (FNOL), capture: policy/claim reference, vehicle registration, date/time/place of loss, accident narrative, impact area, driver, injury/third-party involvement, garage/towing status and contact details.

4.2 Core documents for a routine own-damage claim may include:

- Policy/coverage confirmation from insurer system.
- Registration certificate or verified vehicle data.
- Driving licence where driving eligibility is relevant.
- Workshop estimate/job card with line-item breakup.
- Damage photographs or remote-inspection images where available.
- Final invoice and payment evidence for reimbursement claims.
- Police/FIR/DDR or other official report when legally or factually relevant.

4.3 Missing documents should be requested in a single consolidated communication where possible. ClaimIQ should display a missing-information checklist rather than repeatedly generating ad hoc requests.

5. Initial Validation

5.1 Before routing, validate: policy active on date of loss; vehicle matches policy; loss event falls within broad own-damage scope; accident description is coherent; estimate belongs to the insured vehicle; key documents are readable; material coverage issues are not apparent.

5.2 Basic data-quality flags include mismatched registration, impossible dates, duplicate estimate pages, unreadable amount columns, total arithmetic mismatch and missing accident narrative.

5.3 A low OCR confidence by itself is not a risk indicator; it is a data-quality issue and should trigger manual verification of the relevant field.

6. Routing Framework

6.1 ClaimIQ recommends one of three operational routes. Hard triggers take precedence over score-based routing.

Route	Purpose	Prototype eligibility
Fast Track / STP Candidate	Low-complexity claim with complete evidence and no material review signal.	Indicative settlement ≤ ₹60,000; Review Risk <30; document completeness ≥90%; no specialist trigger.
Surveyor Desktop Review	Moderate claim needing technical or policy judgment without mandatory field investigation.	Indicative settlement ≤ ₹2,50,000; Review Risk 30-59; or defined desktop-review trigger.
Specialist / SIU Review	High-severity, high-value or materially inconsistent claim.	Any mandatory trigger in CLM-MTR-02; Review Risk ≥60; or manager referral.

6.2 Mandatory Desktop Review Triggers

- Any line item marked low-confidence that changes settlement by more than ₹10,000.
- Non-network garage where quoted labour is >30% above applicable synthetic benchmark.
- Replacement of safety-critical components such as airbags, steering or suspension where causation is not obvious.
- Estimate-to-IDV ratio >15% but below CTL/specialist threshold.
- Policy interpretation required for add-on eligibility or exclusion.

6.3 Mandatory Specialist Referral

Any specialist trigger defined in CLM-MTR-02 overrides Fast Track or Desktop eligibility.

7. Fast Track Workflow

1. Confirm policy and vehicle identity.
2. Verify claim document extraction and ensure material fields are high/medium confidence.
3. Run deterministic settlement engine.
4. Run duplicate, arithmetic and basic benchmark checks.
5. Confirm no mandatory Desktop or Specialist trigger.
6. Claims Officer reviews the decision summary and accepts or overrides.
7. Issue cashless approval/reimbursement recommendation with clear customer contribution.

7.1 Fast Track is a process route, not automatic legal acceptance. The authorized claims officer retains final accountability.

8. Desktop Surveyor Workflow

8.1 Desktop review uses available documents, photographs, diagnostic evidence and garage information without requiring immediate physical inspection.

8.2 The reviewer should assess: accident causation; point of impact; repair vs replace; part material; labour/paint reasonableness; prior/unrelated damage; policy coverage and add-ons; and whether further physical evidence is required.

8.3 Outcomes: approve assessed repair; seek specific additional evidence; negotiate/clarify estimate; recommend field survey; or escalate to specialist/SIU.

8.4 If a repair line is rejected or reduced, reason code and supporting evidence must be recorded.

9. Settlement Assessment

9.1 Settlement is calculated from policy rules, not by the LLM. The standard sequence is: quoted reasonable repair cost → remove non-covered/unrelated items → apply depreciation → apply deductible → apply eligible add-ons/sub-limits → arrive at indicative admissible amount.

9.2 Repair-rate or part-cost benchmark variance is not automatically deductible. It is a review signal. Adjustment requires a defensible alternative repair/part basis or surveyor/claims judgment.

9.3 CTL screening: where reasonable retrieval/repair cost approaches or exceeds 75% of IDV, stop ordinary partial-loss settlement and route under CLM-MTR-02.

10. Communication and Internal Service Standards

Process step	Prototype internal target
Digital claim acknowledgement	Immediate / within 15 minutes
Initial completeness check	Within 2 working hours
Routing recommendation after complete documents	Within 30 minutes
Fast Track human review	Same working day
Desktop survey review	Within 1 working day of complete evidence

Process step	Prototype internal target
Customer deficiency request	Single consolidated request wherever possible
Decision communication after final assessment	Within 1 working day

10.1 These are internal prototype service standards, not regulatory representations. Applicable law/regulation and insurer-approved TATs prevail in a production implementation.

11. Human Review and Overrides

11.1 ClaimIQ recommendations must display the evidence and rules that produced the route and indicative settlement.

11.2 A human reviewer may override routing or settlement input assumptions. Any material override must capture a reason code and free-text note where needed.

Override reason code	When used
H01 - Additional physical inspection	Damage cannot be resolved from documents/photos.
H02 - Policy interpretation	Coverage/add-on wording is ambiguous or not encoded.
H03 - Repair methodology	Reviewer disagrees with repair/replace recommendation.
H04 - Customer evidence	New evidence changes claim facts.
H05 - Escalation concern	Material inconsistency requires specialist review.
H06 - Data correction	OCR/AI extraction was incorrect.

12. Closure and Audit Trail

12.1 Before closure, record final route, final assessed amount, customer contribution, material deductions, policy/SOP references, reviewer identity, override reason, payment/cashless status and closure date.

12.2 Claim documents and decisions must be retained in accordance with the insurer's record-retention policy and applicable legal/regulatory requirements. The ClaimIQ prototype itself does not retain real customer PII.

Appendix A - Routing Rules for ClaimIQ

Rule ID	Trigger	Route / action
SOPA-FT-01	Settlement ≤ ₹60k AND risk <30 AND completeness ≥90% AND no hard trigger	Fast Track candidate
SOPA-DR-01	Risk 30-59	Desktop Review
SOPA-DR-02	Estimate/IDV >15%	Desktop Review minimum
SOPA-DR-03	Labour >30% above benchmark at non-network garage	Desktop Review
SOPA-DR-04	Material low-confidence field changes settlement > ₹10k	Desktop Review
SOPA-SP-01	Risk ≥60	Specialist Review
SOPA-SP-02	CTL screening near/exceeds 75% IDV	Specialist / TL review
SOPA-HUM-01	Any policy rule not encoded	Human policy review

Drafting Basis and Regulatory References

This synthetic document is informed by public Indian motor-insurance materials and is intentionally re-written rather than copied. The following sources were used as drafting references for realism:

- Motor Vehicles Act, 1988, including statutory third-party insurance requirements.
- IRDAI-hosted Private Car Package Policy wordings, including own-damage perils, parts depreciation, painting treatment, CTL treatment and standard claim conditions.
- IRDAI (Protection of Policyholder's Interests, Operations and Allied Matters of Insurers) Regulations, 2024.
- IRDAI (Insurance Surveyors and Loss Assessors) Regulations, 2024 and related claims-governance principles.

Where this document specifies internal monetary thresholds, routing cut-offs, risk scores, service standards or approval levels, those values are synthetic insurer operating assumptions created for the ClaimIQ prototype and are not represented as IRDAI-prescribed thresholds.